# CITY OF LANTERN BAY

Department of Housing and Community Development
100 Harbor Street, Lantern Bay · Bayside County

## STAFF REPORT

**To:** Mayor and City Council

**From:** Housing Director

**Date:** May 6, 2025

**Meeting:** May 13, 2025, Regular Meeting, Item 7B

**Subject:** Beacon Point payment in lieu of taxes request

### 1. Recommendation

Staff recommends that the Council adopt the attached resolution approving a 15-year payment in lieu of taxes for Beacon Point.

### 2. Background

Beacon Point is a proposed building of 80 homes at 2200 Beacon Avenue. The owner, Beacon Point Housing LLC, has asked that its property taxes be replaced by a smaller annual payment in lieu of taxes (PILOT).

A draft agreement has been negotiated by staff and the owner and is attached to this report.

### 3. Affordability terms

The draft agreement contains the following terms.

**3.1 Units.** The owner will reserve 16 of the 80 homes as affordable homes.

**3.2 Income basis.** Each affordable home must be leased to a household with income at or below 60 percent of area median income.

**3.3 Rent limits.** Rents for the affordable homes may not exceed the 60 percent rent limit based on the HUD income limits published each year.

**3.4 Term.** The affordability requirements will last for 30 years from the date the first affordable home is leased.

**3.5 Responsible party.** The owner, and any later owner of the property, is responsible for meeting these requirements.

**3.6 Reporting.** The owner will file an annual compliance certificate with the City by March 1 of each year.

**3.7 Remedies.** If a default is not cured within 60 days after written notice, the owner must repay all abated taxes with interest.

## 4. Fiscal impact

The table below uses the County Assessor's projected taxable value at completion.

| Item | Annual amount |
|---|---|
| Property taxes without the agreement (estimate) | $412,000 |
| Payment in lieu of taxes (25 percent) | $103,000 |
| Abated amount | $309,000 |
| Abated amount over 15 years | $4,635,000 |

## 5. Alternatives

The Council may decline the request, or may direct staff to negotiate different terms.

### 6. Consistency with City policy

The request is consistent with the Lantern Bay Housing Element goal of adding homes affordable to lower-income households near transit.

### 7. Attachments

A. Draft resolution concerning payments in lieu of taxes for Beacon Point

B. Draft PILOT and regulatory agreement

Prepared by: Housing Program Manager
Reviewed by: Housing Director
Approved for agenda: City Manager